



KOSDAQ MARKET OPERATIONAL GUIDELINES

ON FAIR DISCLOSURE

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§1. Purpose

The purpose of this Operational Guidelines on Fair Disclosure (hereinafter referred to as the “Operational Guidelines”) is to stipulate the matters necessary for the effective operation of fair disclosure system stated in Section 3 under Chapter III of Part I of the KOSDAQ Market Disclosure Regulation (hereinafter referred to as “the Regulation”) pursuant to [§18] of the Regulation. (Amended on February 3, 2009; April 18, 2012)

§2. Definitions

The terms used in this Operational Guidelines shall have the same meanings given to them in the Regulation.

§3. Information subject to Fair Disclosure

(1) The “future business plans or management plans” in [§12(1)1] of the Regulation shall refer to the plans for a period up to the next three (3) years, which concern each of the following matters that have substantial influence on the overall business activities and performance of a company. (Amended on February 3, 2009)

1. New businesses planned;
2. Development of new markets;
3. Change in main business areas;
4. Change in corporate organizational structure;
5. Development and production of new products;
6. Development of new technologies;
7. Entering into agreements on strategic alliances with other domestic and overseas corporations; and
8. Change in the existing businesses (suspension, closing, disposal, etc.)

(2) The “estimates of or forecast on sales, operating income/losses, profits/losses before tax from continuing operations or net income/losses” in [§12(1)2] of the Regulation shall refer to the estimations or forecasts (including the sales amount, etc. in special business area or operation or specific products) about the sales, operating income

(losses), profits (losses) before tax from continuing operations or net income (losses) for a period up to the next three (3) years. (Amended on May 14, 2007; February 3, 2009)

(3) The “business performance such as sales, operating income/losses, profits/losses before tax from continuing operations, or net income/losses that are included in the annual reports, etc. that is released before submitting the annual reports, etc.” in [§12(1)3] of the Regulation shall refer to the business results, including sales, operating income (losses), profits (losses) before tax from continuing operations, or net income (losses), stated in the annual reports, etc. that are not yet submitted at the time of releasing the concerned information subject to fair disclosure. In this case, the indications on the year on year increases/ decreases turn a profit/turn a loss, the information on the amount/rate of year on year increase/decrease, etc., and the business performance during the period that is part of the period for which the annual reports, etc. are prepared shall be included. However, this provision shall not apply after the business performance for the whole periods encompassing the period concerned is already disclosed. (Amended on May 14, 2007; February 3, 2009)

(4) “From among the matters related to those set forth in Articles [§6] through [§9-2], the matters for which the reporting deadlines have not yet passed” in [§12(1)4] of the Regulation shall refer to, from among the matters corresponding to the criteria specified in Articles [§6] through [§9-2] of the Regulation, the matters that are not yet clearly come under the disclosure obligation because the board of directors has not made its decision, and the matters not disclosed in accordance with Articles [§6] through [§9-2] of the Regulation although they clearly come under the disclosure obligation. (Amended on February 3, 2009; April 18, 2012; March 26, 2013)

(5) “When a fair disclosure information provider selectively releases the matters” in the main sentence of [§12(1)] of the Regulation shall include the distribution or provision of materials prepared beforehand verbally or via telecommunication means (including use of landline or mobile telephone, e-mails, online messengers, etc.). (Amended on February 3, 2009)

(6) In cases where the information provided has already been disclosed through the disclosure or fair disclosure prescribed by the Financial Investment Services and Capital Market Act (hereinafter referred to as “the Act”) and the Regulation, the

provisions of [§12] of the Regulation shall not apply thereto. (Amended on February 3, 2009)

§4. Providers of Fair Disclosure Information

(1) “Its representative” in [§12(2)1] of the Regulation shall refer to an agent that performs the legal tasks in the name of corporation listed on the KOSDAQ Market (hereinafter referred to as the “KOSDAQ-listed corporation”) to give the legal effect of such task to the KOSDAQ-listed corporation. (Amended on February 3, 2009)

(2) For the officers under [§12(2)2] of the Regulation, it shall be regardless whether or not they are registered or in full-time status; for the directors under the same provision, the outside directors shall be included; and, for the auditors under the same provision, the members of audit committee shall be included. (Amended on February 3, 2009)

(3) “Any persons who hold an equivalent positions” in [§12(2)2] of the Regulation shall mean the persons who instruct other persons to conduct business as prescribed in [§401-2] of the Commercial Act and the major shareholders (limited to the case where he/she is a member of the board of directors of the concerned KOSDAQ-listed corporation) prescribed in item (b) of subparagraph 6 of [§2] of the Act on Corporate Governance of Financial Companies. (Amended on February 3, 2009)

(4) The “employees of the concerned KOSDAQ-listed corporation” in [§12(2)3] of the Regulation shall refer to the persons, regardless of their designations, who entered into an employment contract that is subject to the Labor Standards Act. (Amended on February 3, 2009)

(5) The “staff members of the department that handles the matters concerning the information subject to fair disclosure” in [§12(2)3] of the Regulation shall refer to the staff members of the department that actually makes and implements the decisions about the work relating to the information subject to fair disclosure, who directly or indirectly participate in such work; and “staff members of the department that is responsible for disclosure” shall refer to the staff members of the department that actually makes the decisions on the contents and time of disclosure, etc. and the staff members who directly or indirectly participate in the work relating to disclosure.

(Amended on February 3, 2009)

§5. Prohibition of Roundabout Provision of Information subject to Fair Disclosure

The provider of fair disclosure information shall not provide the information subject to fair disclosure in a roundabout manner by using various ratios and scales of increases or decreases, etc.

§6. Receivers of Fair Disclosure Information

(1) The “officers” mentioned in [§12(3)] of the Regulation shall refer to the persons who fall under Paragraphs (2) and (3) of [§4]. (Amended on February 3, 2009)

(2) The “employees” mentioned in [§12(3)] of the Regulation shall refer to the persons who fall under [§4(4)]. (Amended on February 3, 2009)

(3) The “relationship of delegation” in [§12(3)1] of the Regulation shall refer to an agreement, regardless of its title, that states that the delegatee handles the affairs entrusted to him/her by the delegation of the delegator and falls under any of the followings: (Amended on February 3, 2009)

1. To request a lawyer to perform a lawsuit as an attorney;
2. To request an investment trader or an investment broker under the Act to handle the tasks relating to the preparation and submission of documents such as the securities registration statement;
3. To request an underwriter or an accounting firm for such tasks as analysis of the value of securities; or
4. To request a technology appraisal company, etc. to analyze the value of technology.

(4) The “partnership” mentioned in [§12(3)1] of the Regulation shall mean, regardless of its name, that two (2) or more companies jointly run or cooperate in technology,

production, capital, etc. in performing the business activities such as sales, product developments and investment, etc. (Amended on February 3, 2009)

(5) The “foreign professional investors” mentioned in [§12(3)3] of the Regulation shall refer to, regardless of their names, the financial institutions, investment companies, hedge funds and other companies performing similar functions, which operate financial businesses by acquiring the permits or licenses pursuant to the financial laws and ordinances of foreign countries. (Amended on February 3, 2009)

(6) The “securities information sites” in [§12(3)5] of the Regulation shall refer to the Internet sites that are concerned with the provision of information about KOSDAQ-listed corporations and include internet securities information sites, internet broadcasting on securities and wired/wireless internet securities information providers. (Amended on February 3, 2009)

(7) The “holders of the stocks of a KOSDAQ-listed corporation, who are expected to buy or sell the concerned stocks by exploiting the information subject to fair disclosure” in [§12(3)6] of the Regulation shall refer to the holders of the stocks issued by the concerned KOSDAQ-listed corporation, for which they have not made a written declaration not to buy or sell the stocks on the basis of the information received. (Amended on February 3, 2009)

(8) The “persons who are specified by the Exchange” in [§12(3)7] of the Regulation shall refer to the persons who fall under any of the followings: [June 29, 2017]

1. A person who provides advisory services with respect to the exercise of voting rights; or
2. In cases where the provider of fair disclosure information intends to selectively provide the information subject to fair disclosure to the persons noted in subparagraphs 1 through 6 under [§12(3)] of the Regulation, a person who can easily access the means of providing the information and obtain it.

§7. Notification Deadline

(1) With regard to the case where a KOSDAQ-listed corporation intends to release the information subject to fair disclosure prepared beforehand at an investor relations seminar, press conference, conference call or workshop, etc., “before the information is provided” in the main sentence of [§12(4)] of the Regulation shall refer to the start time of the concerned event. (Amended on February 3, 2009)

(2) With regard to Paragraph (1), when the information subject to fair disclosure which has not been notified yet is provided during the event, the corporation concerned shall notify such fact without delay. (Amended on February 3, 2009)

(3) Notwithstanding the notification deadline set forth in the main sentence of [§12(4)] of the Regulation, KOSDAQ-listed corporations shall make an effort to notify the Exchange at least ten (10) minutes before releasing the information subject to fair disclosure of the concerned information. However, when it is acknowledged that the notification prior to the release of the information was practically impossible due to geographical locations, provision methods or procedures, the corporation concerned shall notify it within the minimum time required for reporting, while taking into account the time needed for preparation of electronic documents, etc. (Amended on February 3, 2009)

(4) In cases where the time of provision of the information subject to fair disclosure is after the day’s deadline for receipt of notification of the electronic disclosure system noted in [§54(1)] of the Regulation (hereinafter referred to as the “electronic disclosure system”), the notification shall be made by ten (10) minutes before the opening of pre-hours session on the next day (in cases where the pre-hours session does not open, by thirty (30) minutes before the opening of regular session). In cases where it is before the beginning of receipt of notification by the electronic disclosure system, the notification shall be made by ten (10) minutes before the opening of pre-hours session on the day (in cases where the pre-hours session does not open, by thirty (30) minutes before the opening of regular session). (Amended on February 3, 2009)

(5) “In case where such information is released due to a minor error” in the proviso to [§12(4)] of the Regulation shall refer to a case where, although adequate care was taken, the information provider was not aware of the fact noted in each of the followings: (Amended on February 3, 2009)

1. The fact that the concerned information is subject to fair disclosure;
2. The fact that the concerned receiver of information is the receiver of fair disclosure information;
3. The fact that the concerned information has not yet been notified; and
4. In addition, the facts equivalent to those noted above.

§8. Notification Methods

(1) When disclosing the details of the matters noted in [§12(1)1] of the Regulation, the objectives, implementation schedule, estimated effect and estimates of related investment costs of the plans concerned shall be stated in detail. (Amended on February 3, 2009)

(2) When disclosing the details of the matters noted in [§12(1)2] of the Regulation, the bases of estimation and judgment related to the concerned forecast or estimation shall be stated in detail. (Amended on February 3, 2009)

(3) When disclosing the details of the matters noted in [§12(1)3] of the Regulation, the numbers in comparison with the same period of the previous year shall be stated, and if the period concerned is longer than a quarter, the sales amount, operating income (losses), profits (losses) before tax from continuing operations and net income (losses) of the period shall be included. However, this provision shall not be applicable if it is unavoidable due to the delay in account closing of subsidiaries or the characteristics of accounting standards of the industrial sector concerned, etc. (Amended May 14, 2007; February 3, 2009)

(4) KOSDAQ-listed corporations shall include the names of disclosure officers and employees responsible for disclosure, and the names and contact numbers of the departments related to the concerned information subject to fair disclosure, in the notification, so that the investors, whenever necessary, can make inquiries about the specifics of the details of the disclosed information without difficulty. (Amended on February 3, 2009)

(5) When a KOSDAQ-listed corporation makes notifications in accordance with the methods specified in [§5] of the Regulation pursuant to [§14(1)] of the Regulation, it

shall be suitable for publication through the information inquiry terminals operated by the KOSCOM. (Amended on March 23, 2006)

(6) “In cases where the details to be notified are extensive” in the proviso to [§14(1)] of the Regulation shall refer to the cases where, with regard to the notification of the information subject to fair disclosure including the information released at investor relations seminars, the volume of documents notified exceeds three (3) megabits, the notification is not suitable for publication through the information inquiry terminal operated by the KOSCOM or the Exchange deems it to be extensive. (Amended on March 23, 2006; February 3, 2009)

(7) The “website, etc. of the concerned corporation” in the proviso to [§14(1)] of the Regulation shall refer to the website of the concerned KOSDAQ-listed corporation or the website operated by the Exchange. (Amended on February 3, 2009)

(8) When making a summary notification pursuant to the proviso to [§14(1)] of the Regulation, KOSDAQ-listed corporations shall clearly state the methods of accessing the original copy of the details notified, and, provided that there is no special reason, shall post the original documents and the summary on its website by the notification date. (Amended on February 3, 2009)

§9. Exception in Applying Fair Disclosure Obligations

(1) The “coverage for news reporting” in subparagraph 1 under [§15] of the Regulation shall refer to a series of activities taken by an employee of a newspaper or broadcasting company, which generates newsworthy information by collecting and synthesizing information gathered through a personal visit to KOSDAQ-listed corporations or contact with the officers or employees of KOSDAQ-listed corporations, in order to satisfy the public’s right to know. In this case, when a KOSDAQ-listed corporation makes available fair disclosure information through a news release, press conference, press gathering, conference call, etc., the exemptions in application of fair disclosure obligation shall not apply. (Amended in February 3, 2009)

(2) The “persons who are required to keep confidentiality” and the “persons who have clearly stated to keep the confidentiality” noted in items a and b of subparagraph 2 under [§15] of the Regulation shall refer to the persons who are under the obligation of any of the following contracts: (Amended on March 23, 2006; February 3, 2009)

1. Contract authorizing the law firms or lawyers, which are subject to the Attorneys-at-Law Act, to provide such services as the legal advices, act as a proxy for the delegated matter, and handle the legal proceedings;
2. Contract authorizing the certified public accounts, who are subject to the Certified Public Accountant Act, to provide consulting services relating to external audit, management or securities business; to be an agent for tax reconciliation and handling of tasks relating to foreign capital inducement; to assess the assets and debts for commencement of rehabilitation procedures, to analyze the corporate worth for mergers and splits; and to carry out the tasks of managing overseas corporations, etc.;
3. Contract authorizing the certified public tax accounts, who are subject to the Certified Public Tax Accountants Act, to be an agent for filings, applications and claims relating to taxation, to prepare the documents relating to taxation such as the statement for tax reconciliation, etc. and to act as an agent for taxation matters including consultations or advices on taxation, etc.;
4. Underwriting agreements entered into with the underwriting syndicates, including the lead managing underwriter who carries out the tasks of underwriting (limited to the case where the confidentiality obligation is clearly stated in the underwriting agreement);
5. Agreements entered into with the financial institutions on loans, payment guarantee and review to open letters of credit (limited to the case where the officers and employees of the concerned financial institution have explicitly agreed to keep the confidentiality in writing. However, in case where the officers and employees of the financial institutions subject to [§66] of the Banking Act receive the information relating to loans, payment guarantee and review to open letters of credit, the written consent to keep confidentiality is not required);

6. Agreements entered into to act as an agent for capital raising and business activities of a corporation (limited to the case where there is a written consent to keep the confidentiality);

7. Agreements that a KOSDAQ-listed corporation subject to the Corporate Restructuring Promotion Act entered into with the council of creditor financial institutions for implementation of the business normalization plan (limited to the case where the council of creditor financial institutions or the principal creditor bank has agreed in writing to keep the confidentiality); and

8. Other contracts entered into with persons who have certificates of qualification or licenses in specific fields (limited to the case where, in relation to performing the assigned tasks, the person is obliged to keep the confidentiality under the relevant laws and regulations), to authorize the performance of tasks which require specialized knowledge.

(3) The “other persons who are deemed to be equivalent to those specified in items a through c, and are identified by the Exchange” in item d under subparagraph 2 of [§15] of the Regulation shall refer to the administrative agencies that require the submission of information noted in each subparagraph of [§12(1)] of the Regulation from the KOSDAQ-listed corporations for the validation of various authorizations, permits, licenses, certificates or confirmations, etc., and the corporations and organizations who perform the tasks delegated by such administrative agencies. (Amended on February 3, 2009)

(4) In the event where any person specified in each item of under subparagraph 2 of [§15] of the Regulation acts on behalf of a KOSDAQ-listed corporation as an agent of the corporation, such person shall become a provider of fair disclosure information. (Amended on February 3, 2009)

§10. Relationship with Timely Disclosure

(1) In the event where the matters which have already been disclosed pursuant to [§12] of the Regulation fall under Articles [§6] through [§9-2] of the Regulation, the concerned KOSPI-listed corporation shall report such fact in accordance with the

applicable regulation. (Amended on February 3, 2009; April 18, 2012; March 26, 2013)

(2) In the case of Paragraph (1), when the details of the information already disclosed were changed, the fact that the contents of the fair disclosure made previously has been changed shall be stated in the report that is made pursuant to Articles [§6] through [§9-2] of the Regulation. In such case, it shall be deemed that the report specified in [§30] of the Regulation has been made. (Amended on February 3, 2009; April 18, 2012; March 26, 2013)

§11. Due Care and Other Duties of KOSDAQ-Listed Corporations

(Title changed on February 3, 2009)

(1) When preparing the documents for fair disclosure, KOSDAQ-listed corporations shall take due care not to make mistakes or omissions of material information. (Amended on September 22, 2008; February 3, 2009)

(2) In preparing the disclosure documents, KOSDAQ-listed corporations shall use terminology that facilitates the understanding of details of the disclosure, and not use terminology that exaggerates or distorts the details. (Amended on February 3, 2009)

(3) KOSDAQ-listed corporations shall make the efforts necessary to fulfill the fair disclosure obligations, including the in-house training for the providers of fair disclosure information, etc., so that the providers can make appropriate responses to the inquiries about the information subject to fair disclosure made by the receivers of the information. (Amended on February 3, 2009)

(4) In addition to Paragraphs (1) through (3), KOSDAQ-listed corporations shall faithfully fulfill and comply with the requirements and requests that the Exchange makes in relation to the fair disclosure. (Amended on February 3, 2009)

ADDENDA
(January 27, 2005)

§1. Effective Date

This Operational Guidelines shall become effective on the day when the Korea Exchange is incorporated.

§2. Abolition of the former Operation Guidelines on Fair Disclosure

The former Operational Guidelines on Fair Disclosure shall be abolished on the effective date of this Operational Guidelines.

§3. Interim Measures subsequent to Abolition of the Former Operational Guidelines

The actions, etc. taken in accordance with the former Operational Guidelines before the effective date of this Operational Guidelines shall be deemed to be the actions taken in accordance to this Operational Guidelines.

ADDENDUM
(March 23, 2006)

This Operational Guidelines shall become effective on April 1, 2006.

ADDENDA
(May 14, 2007)

§1. Effective Date

This Operational Guidelines shall become effective on May 17, 2007

§2. Exceptions in Application

The amended provisions of [§3(2) & (3)] and [§8(3)] shall apply starting from the fiscal year that begins after December 31, 2006.

ADDENDUM
(September 22, 2008)

This Operational Guidelines shall become effective on October 1, 2008.

ADDENDUM
(February 3, 2009)

This Operational Guidelines shall become effective on February 4, 2009.

ADDENDUM
(April 18, 2012)

This Operational Guidelines shall become effective on April 23, 2012.

ADDENDUM
(March 26, 2013)

This Operational Guidelines shall become effective on April 2, 2012.

ADDENDUM
(June 29, 2017)

This Operational Guidelines shall become effective on July 3, 2017.
